

LEGISLATIVE POLICY BRIEF

The Florida Resilient Home Check

A voluntary, state-administered loss-prevention program and a statutory premium credit for verified water-mitigation devices, designed to reduce the non-weather water and mold claims that drive Florida's attritional losses and litigation.

PREPARED FOR

Members of the Florida Legislature and the Executive Office of the Governor

For consideration ahead of the 2027 Regular Session (convening March 2, 2027)

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Contents

I. Summary	3
II. Present Situation	4
A. The market has stabilized, and it remains the most expensive in the country	4
B. Litigation is falling, and it still concentrates in Florida	5
C. Water is the largest non-catastrophe peril, and the state does nothing to prevent it	6
D. Everything the state funds is aimed at wind	8
E. Why the private market has not solved this	8
III. The Proposal	9
A. What the homeowner experiences	9
B. What the visit covers	9
C. Who delivers it	10
IV. Effect of Proposed Changes: The Insurance Mechanism	10
A. The constraint	10
B. Credit the device, not the lecture	10
C. Prove the loss reduction while the pilot runs	11
D. Citizens as the first mover	11
E. Why this brings carriers to the table	11
F. A carrier partnership that does not wait for the mandate	11
G. Why a carrier would sign	12
V. Fiscal Impact Statement	13
A. Tax or fee issues	13
B. Government sector impact	13
C. Private sector impact	13
D. The evidence that prevention pays	14
E. Break-even and projected return	14
F. Should the homeowner pay? Fee options compared	15
G. What a participating family pays and gets back	16
VI. Constitutional and Legal Issues	17
A. Municipality and county mandates restrictions	17
B. Public records and open meetings	17
C. Trust fund restrictions	18
D. State tax or fee increases	18
E. Other constitutional and legal issues	18
VII. Homeowner Protections	18
VIII. Implementation, Pilot Design, and Success Metrics	19
A. Pilot counties	19
B. Success metrics, written into the authorizing statute	20
IX. Statutes Affected and Legislative Sequencing	20
A. Statutes affected	20
B. Sequencing for the 2027 Regular Session	21
C. Anticipated objections	22
Appendix A: Projection Assumptions and Methodology	22
Appendix B: Comparable-State Benchmarks	23
Appendix C: Sources	24

I. Summary

Florida has spent four years and several special sessions repairing the way property insurance claims are fought. The 2022 and 2023 reforms ended one-way attorney fees and post-loss assignment of benefits, and the results are measurable. The Office of Insurance Regulation (OIR) reports that 21 new residential property carriers have been approved since those reforms, that the domestic market posted a combined ratio of 83 percent in 2025, the lowest in more than a decade, and that Citizens Property Insurance Corporation held 293,465 policies on June 5, 2026, down from roughly 1.2 million at the end of 2022 and the lowest count in 25 years.

The reforms changed how claims are litigated. They did not change how many claims occur. This brief addresses the second problem for the one peril the state has never targeted: everyday water damage. In calendar year 2025, water-related perils accounted for roughly 118,000 of the 456,200 homeowners claims closed in Florida, about one in four. The state funds a large wind-hardening program, My Safe Florida Home, and funds nothing to prevent the plumbing, water heater, air-conditioning condensate, and mold losses that make up the largest non-catastrophe share of the claims book.

The Florida Resilient Home Check is a free, voluntary, scheduled home visit delivered through two networks the state already funds: the Department of Financial Services (DFS) inspector roster built for My Safe Florida Home, and the University of Florida IFAS Extension, which maintains an office in all 67 counties. The visit teaches the homeowner how a Florida home fails and leaves a written maintenance plan. Where the homeowner installs a verified device, an automatic water shutoff, leak sensors, or a condensate float switch, a verification form unlocks a premium credit built on the wind-mitigation credit that already exists in s. 627.0629, F.S.

1 in 4

Florida homeowners claims closed in 2025 that were water-related (OIR, July 2026)

96%

Drop in water-claim frequency after an automatic shutoff device is installed (LexisNexis, 2020)

7.5x

Adjustment expense on a litigated Florida claim versus a non-litigated one (OIR, CY2025)

\$30M

Three-year, five-county pilot. About 8 percent of the \$378 million appropriated to My Safe Florida Home for FY 2026-27

What the proposal does

- Creates a voluntary Resilient Home Check within DFS, delivered with UF/IFAS Extension, with no new agency and no grant to disburse.
- Adds a parallel subsection to s. 627.0629, F.S., requiring an actuarially justified premium credit for verified water-mitigation devices, with a Uniform Water Mitigation Verification form adopted under s. 627.711, F.S.
- Protects participating homeowners with a findings firewall, a public records exemption for the report, a bar on code enforcement, and a bar on inspector sales.

- Runs the pilot as a controlled study with published targets and statutory kill criteria, so the program scales only on evidence.
- Opens a voluntary Resilient Home Partner Compact with carriers by executive action, trading pilot loss data, a consented lead channel, and Citizens depopulation priority for a filed credit and Florida capacity, before any mandate takes effect.
- Analyzes a \$50 to \$100 visit fee against the free base design, including the two-thirds vote a fee would require under Article VII, section 19, and the homeowner's own return on a few hundred dollars of devices.

Recommendation

Authorize a free three-year pilot in five counties at approximately \$10 million per year, direct the Financial Services Commission to begin rulemaking on the verification form in parallel, and direct OIR to publish the water and mold loss data needed to size a statewide credit. In parallel, and without waiting for the statute, have DFS and OIR open a voluntary Resilient Home Partner Compact with carriers (IV.F). Decide on a visit fee at the pilot's decision gate on real uptake data (V.F). Section IX sets out the sequencing for the 2027 Regular Session.

II. Present Situation

A. The market has stabilized, and it remains the most expensive in the country

Between 2021 and early 2023 the Florida residential market nearly failed. More than a dozen carriers entered liquidation, and Citizens, the state-created insurer of last resort, became the largest property insurer in the state. Three laws changed the trajectory: SB 2-D (May 2022), SB 2-A (December 2022), and HB 837 (March 2023). Together they ended one-way attorney fees, prohibited post-loss assignment of benefits, and tightened the tort standards that had made Florida a magnet for claims litigation.

OIR's July 2026 Property Insurance Stability Report, the semiannual report required by s. 627.7154, F.S., documents the recovery. The findings that matter for this brief:

- **21 new carriers** have been approved to write residential property insurance since the reforms, one company in runoff recapitalized and re-entered, and one more was acquired to expand its Florida footprint. New entrants have brought more than \$850 million in new capital to the state (Insurance Journal, May 2026).
- The domestic market's pooled **combined ratio was 83 percent in 2025**, its best result in more than a decade, after years of consecutive underwriting losses.
- **Citizens held 293,465 policies** on June 5, 2026, the lowest level in 25 years. The voluntary market now writes 92 percent of homeowners multi-peril policies, though Citizens still writes three of every four wind-only policies.

- Citizens' board approved a **statewide decrease in 2026 multi-peril rates**, the first broad rate cut since the crisis.

The improvement is recent and partly cyclical. Two mild storm seasons and softening reinsurance costs contributed alongside the reforms, and OIR still had 11 companies under enhanced monitoring as of June 2026. Florida premiums remain the highest in the nation. A carrier deciding whether to enter or expand in Florida is making a judgment about loss volatility and litigation exposure, and both remain the state's structural disadvantage.

B. Litigation is falling, and it still concentrates in Florida

The National Association of Insurance Commissioners' Market Conduct Annual Statement data reported by OIR shows Florida's share of the nation's homeowners claims and lawsuits by year:

Year	Florida share of U.S. homeowners claims	Florida share of U.S. homeowners lawsuits
2022	14.93%	70.83%
2023	9.73%	71.59%
2024	12.33%	73.15%
2025 (preliminary)	4.85%	41.29%

Source: OIR, Property Insurance Stability Report, July 1, 2026, p. 3. The 2025 figures are preliminary and will be finalized in the third quarter of 2026.

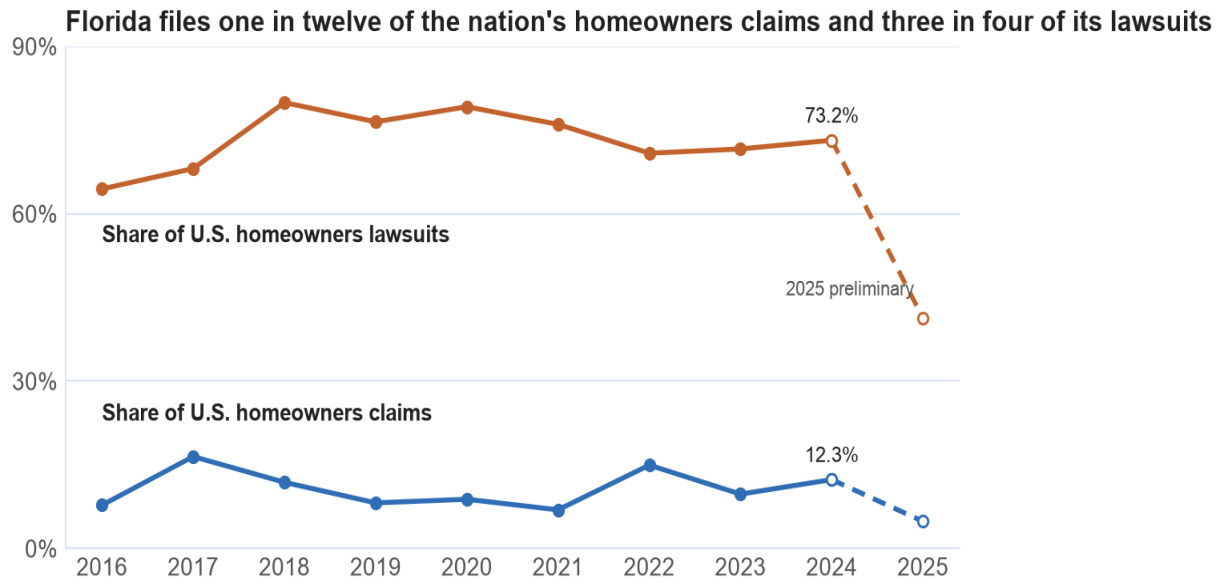


Figure 1. Florida's share of nationwide homeowners claims and lawsuits, 2016 to 2025. Hollow markers are preliminary 2025 data. Source: NAIC Market Conduct Annual Statement data as reported in OIR, *Property Insurance Stability Report*, July 1, 2026, p. 3.

Even on the preliminary 2025 figures, Florida generates lawsuits at more than eight times its share of claims. Litigation is expensive in itself. Across all closed claims in 2025, the average loss adjustment expense was \$15,257 on a litigated claim and \$2,044 on a non-litigated one, a 7.5-to-1 ratio. In Palm Beach, Broward, and Miami-Dade counties, 27 percent of closed claims were litigated, against 8 percent in the rest of the state.

C. Water is the largest non-catastrophe peril, and the state does nothing to prevent it

OIR's closed-claims data separates water perils from hurricane and windstorm. In calendar year 2025, Florida carriers closed 456,200 homeowners claims and paid \$10 billion in indemnity and \$1.7 billion in loss adjustment expense. Of those claims:

Peril (OIR category)	Closed claims, CY2025	Litigated	Share of all closed claims
Accidental discharge; overflow of water; steam (plumbing, appliance, and HVAC failures)	73,638	11.0%	16.1%
Other water	44,417	15.3%	9.7%
Water-related, combined	118,055		25.9%

Source: OIR, *Property Insurance Stability Report*, July 1, 2026, pp. 10 to 12. Calendar year 2024 showed the same pattern: about 165,000 water-related claims, 24 percent of 698,742 closed claims, in a year with two landfalling hurricanes.

The national picture is consistent. The Insurance Information Institute reports 1.50 water damage and freezing claims per 100 house-years, roughly one in every 67 insured homes each year, at an average severity of \$15,400 (2019 to 2023 weighted average). Water damage was 22.6 percent of all homeowners losses in 2023, second only to wind and hail.

Severity is climbing. LexisNexis Risk Solutions' 2026 U.S. Home Insurance Trends Report (July 2026) found that non-weather water loss frequency fell 7.8 percent from 2024 to 2025, but severity rose 2.5 percent in the year and 63 percent from 2019 to 2025, driven by labor and material costs for remediation. The same report describes non-weather water claims as the most preventable of the major loss-cost events and urges carriers to promote leak-detection device adoption. The Insurance Institute for Business and Home Safety (IBHS) attributes the structural trend to larger homes with more plumbing, shorter appliance lifespans, and the migration of laundry rooms and water heaters to upper floors.

What a single leak becomes

A supply line behind a washing machine begins to weep. Found during a home visit, it costs a braided steel hose and twenty minutes. Left alone through a Florida summer, it feeds mold behind the drywall and becomes a remediation claim.

In OIR's CY2025 data, an accidental-discharge claim that closes without litigation within 60 days carries average indemnity of \$8,510 and adjustment expense of \$984. The same peril, litigated and open for more than a year, carries average indemnity of \$67,595 and adjustment expense of \$24,491. Prevention removes both the payout and the lawsuit that so often rides on it.

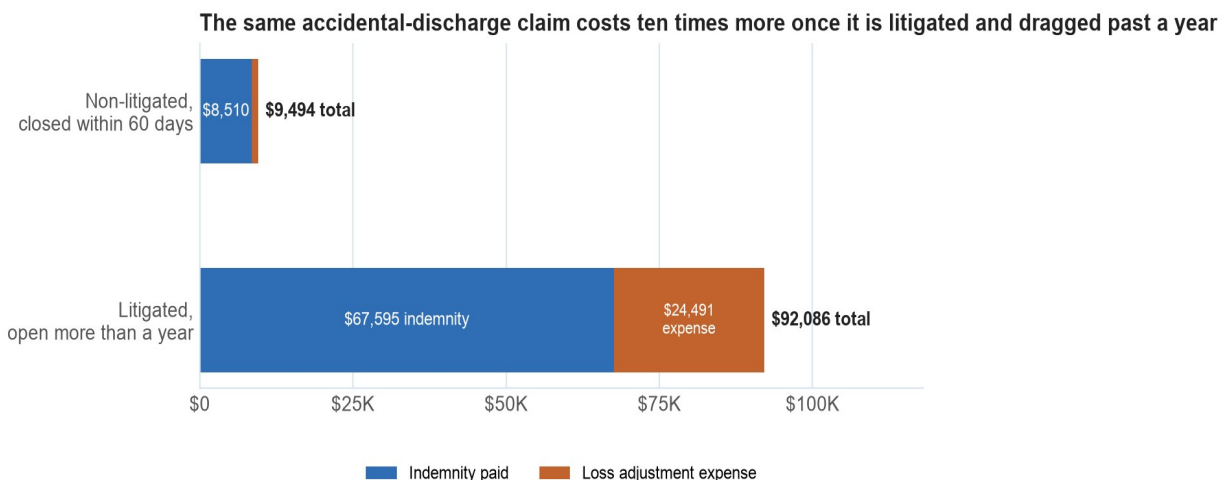


Figure 2. Average indemnity and loss adjustment expense on a Florida accidental-discharge claim, by litigation status and time to close, calendar year 2025. Source: OIR, Property Insurance Stability Report, July 1, 2026, pp. 11 to 12.

D. Everything the state funds is aimed at wind

Peril	State program	Statutory insurance credit
Hurricane wind	My Safe Florida Home (s. 215.5586, F.S.): free inspection and a 2-for-1 grant up to \$10,000. My Safe Florida Condominium Pilot (s. 215.55871, F.S.)	Yes. Mandatory under s. 627.0629, F.S., verified on form OIR-B1-1802 under s. 627.711, F.S.
Flood	Federal NFIP; state floodplain management; 2025 HB 1459 proposed adding flood mitigation to My Safe Florida Home and died in subcommittee	Separate policy
Non-weather water	None	None. Voluntary carrier credits exist but are inconsistent and unfiled as a standard
Mold	None	None. Commonly sublimited, often at \$10,000
HVAC and humidity	None	None

My Safe Florida Home works. DFS reported in February 2025 that the program had paid more than \$576 million in grants to more than 58,000 homeowners since its 2022 relaunch, and the Legislature appropriated \$378 million for FY 2026-27, plus \$27 million for the condominium pilot. It is the model for this proposal, and its constraint has never been political support. It is throughput: the program has repeatedly exhausted its appropriation with tens of thousands of inspected homeowners still waiting on grants. The Resilient Home Check is designed so that constraint cannot recur. There is no grant to disburse, because the devices cost a homeowner tens to hundreds of dollars and the homeowner buys them directly.

E. Why the private market has not solved this

- **Carriers have no channel.** A homeowner who sees an insurance inspector at the door assumes a nonrenewal is coming, so they decline the contact. The only party a homeowner will let through the door is one that cannot cancel the policy.
- **Homeowners lack the information.** Most have never been taught how a hot, humid house is maintained, and new arrivals from drier states least of all. UF/IFAS already publishes the curriculum (EDIS fact sheets on mold prevention and room-by-room moisture control) but has no visit-based delivery program.
- **Education cannot become a filed credit.** Under s. 627.062, F.S., rates must be actuarially justified. A carrier cannot discount a policy because a homeowner attended a class, and no

statute defines a verifiable water-mitigation standard the way s. 627.0629 defines one for wind.

- **Voluntary credits are scattered.** Chubb offers about 8 percent for comprehensive leak detection, USAA up to 8 percent for connected sensors, and Nationwide 10 percent on water perils in California. Citizens offers no water-mitigation credit. New York's Department of Financial Services issued a 2024 circular letter encouraging such credits. No state has set a verification standard or a mandate. Florida would be the first.

III. The Proposal

A. What the homeowner experiences

1. The homeowner schedules a free appointment online through the existing My Safe Florida Home portal. No income test and no homestead requirement for the visit itself.
2. A trained inspector arrives at a scheduled time and walks the home with the owner. This is a teaching visit, not a clipboard audit. The inspector measures, explains, and demonstrates.
3. Within seven days the homeowner receives a written report: a prioritized fix list split into no-cost actions and budgeted items, a twelve-month maintenance calendar, and a hurricane staging checklist matched to the home and its evacuation zone.
4. Nothing is sold. The inspector may not perform, bid on, refer, or profit from any repair or remediation work arising from the visit.
5. If the homeowner installs verified devices, a certified inspector completes the Uniform Water Mitigation Verification form, and the carrier applies the statutory credit at the next renewal.

B. What the visit covers

Domain	What is checked and taught
Moisture and mold	Indoor humidity by room. High-risk areas under sinks, behind the washer, in the attic, in the air-handler closet, and at window seals. How to read a \$12 hygrometer, what range to hold, and how to check monthly.
HVAC	Condensate drain line and how to flush it. Drain pan, float switch, filter cadence, system age and sizing. A dehumidification plan for long absences.
Plumbing	Water heater age, location, and pan. Supply-line type and age. Main shutoff location and operation. Smart leak detection and automatic shutoff options.
Building envelope	Roof age and condition, flashing and window seals, soffit and vent screening, grading and drainage at the foundation.
Storm readiness	Opening protection, sandbag staging, supply inventory, generator and fuel safety, photo inventory, and what the policy will and will not cover.

Domain	What is checked and taught
Electrical and surge	Panel age and a whole-home surge protection recommendation.

C. Who delivers it

No new agency. DFS already administers a credentialed inspector network through three wind certification entities under My Safe Florida Home, and already operates the scheduling portal. UF/IFAS Extension maintains an office in every county, is trusted, sells nothing, and already holds the technical content. Under this proposal DFS administers the program and holds the contracts, IFAS builds the curriculum and the inspector certification, and county extension offices participate by agreement with state reimbursement. Inspector supply is capped ahead of demand by rule, so no homeowner is scheduled for a visit the program cannot deliver.

IV. Effect of Proposed Changes: The Insurance Mechanism

This section determines whether the program lowers premiums or is only a public service. It does both, and the credit is designed to survive an actuary's review.

A. The constraint

Under s. 627.062, F.S., rates may not be excessive, inadequate, or unfairly discriminatory, and every credit must be filed with OIR on an actuarial basis. Education changes behavior, but it does not earn a filed credit on its own, and OIR should never accept a filing that claims otherwise.

B. Credit the device, not the lecture

The proposal mirrors the wind-mitigation credit that already operates under ss. 627.0629 and 627.711, F.S. The visit recommends, the homeowner installs, a certified inspector verifies, and the credit attaches to the physical device, which is inspectable and defensible.

Wind mitigation (current law)	Water mitigation (proposed)
Inspector completes the Uniform Mitigation Verification Inspection form, OIR-B1-1802, adopted by rule 690-170.0155, F.A.C.	Inspector completes a new Uniform Water Mitigation Verification form adopted by the Financial Services Commission under the same rulemaking authority
Documents roof shape, roof-to-wall attachment, secondary water resistance, and opening protection	Documents an automatic water shutoff on the main, leak sensors at every wet location, braided supply lines, water heater age and pan, and an HVAC condensate float switch

Wind mitigation (current law)	Water mitigation (proposed)
Carrier must apply an actuarially reasonable discount to the wind portion of the premium	Carrier must apply an actuarially reasonable discount to the non-catastrophe water portion of the premium
Statutory basis: ss. 627.0629 and 627.711, F.S.	New subsection to s. 627.0629 and conforming amendment to s. 627.711, F.S.

C. Prove the loss reduction while the pilot runs

The pilot is a controlled study from the first day. Claim frequency and severity in visited homes are compared against a matched cohort of non-visited homes over three years, with OIR receiving the loss data under its existing data-call authority. If the visit itself moves loss experience, carriers will file for a voluntary participation credit on their own, because it improves their loss ratio. That is how the market moves, and it is more durable than a mandate.

D. Citizens as the first mover

Citizens files its rates with OIR and answers to the Legislature. Directing Citizens to file a water-mitigation device credit in its next annual rate filing gives the market a public, actuarially reviewed benchmark before the private-carrier mandate takes effect, and gives the roughly 293,000 remaining Citizens policyholders, who are disproportionately in the highest-litigation counties, the first access to the credit.

E. Why this brings carriers to the table

A carrier's Florida decision rests on volatility and litigation exposure. A state that is measurably driving down attritional water and mold loss, on top of the litigation reforms already in place, presents a more predictable book of business to reinsurers and new entrants. It is a concrete document to hand a carrier's chief executive in the meeting where the state asks them to enter and compete on price.

F. A carrier partnership that does not wait for the mandate

The device credit in IV.B requires legislation. Most of what would bring a carrier to the table does not. The Chief Financial Officer and the Insurance Commissioner already convene carriers, and the Governor already recruits them. The Resilient Home Check gives that recruiting pitch something concrete to trade. A Resilient Home Partner Compact, a voluntary agreement signed by DFS, OIR, and each participating carrier, can be in place during the pilot's first year by executive action, with the statutory credit becoming the floor after the decision gate.

What a partner carrier commits to	What the state provides in return
Files a voluntary water-mitigation credit with OIR, in the 5 to 10 percent range that Chubb, USAA, and Nationwide already file in other states, and honors the Uniform Water Mitigation Verification form from day one	Quarterly matched-control loss data from the pilot under a data-sharing agreement, before public release, so the carrier's actuaries can size the credit on Florida experience rather than national proxies
Writes and renews participating homes without using the Resilient Home Check report adversely, and certifies that in its compact	Listing as a Resilient Home Partner on the program site and in every homeowner's written report, and access to a consented lead channel: homeowners who complete a check may opt in, in writing, to receive quotes from partner carriers. The findings firewall otherwise prohibits any contact
Commits new or expanded Florida capacity, as a new entrant or through additional writings in the pilot counties	Priority consideration in Citizens depopulation rounds for partner carriers, a Citizens board policy that needs no statute, and a joint announcement with the Governor and the Chief Financial Officer
Participates in the independent actuarial study and shares de-identified claims experience on participating homes	When the statewide mandate arrives, the carrier's own credit is already filed on an OIR-reviewed basis. Early filers set the benchmark the mandate is written to

The compact trades data, distribution, and recognition. It must not trade regulatory treatment. Section 627.062, F.S., applies to a partner carrier exactly as it applies to every other carrier, and OIR may not offer expedited rate review, relaxed solvency monitoring, or any filing exemption in exchange for participation. Writing that limit into the compact protects the Commissioner and makes the program defensible in front of the carriers that decline to join.

G. Why a carrier would sign

A carrier's most expensive problem in Florida is not finding customers. It is finding customers whose water and mold risk it can price with confidence. A homeowner who scheduled a free visit, completed the fix list, and installed a verified shutoff device has self-selected into the lowest-loss segment of the residential book, and has documented it on a form the carrier can inspect. The consented lead channel delivers that segment directly, at no acquisition cost, in the counties where the carrier has committed capacity. Paired with the litigation reforms already in place, that is a book a reinsurer will price down. The state does not need to require a lower rate. It needs to make the lower-risk customer easy to find, and let carriers compete for them.

V. Fiscal Impact Statement

A. Tax or fee issues

None under the base design. The fee options analyzed in V.F would create a user fee for a voluntary service and would trigger Article VII, section 19 of the Florida Constitution; see VI.D.

B. Government sector impact

Every figure below is built from published industry and Florida regulatory data. Assumptions are set deliberately below what the underlying studies measured. Appendix A gives the methodology.

Line item	Three-year pilot	Statewide, per year (at maturity)
Home visits	72,000 visits at \$200 = \$14.4M	100,000 visits = \$20.0M
One-time build: curriculum, certification, portal extension	\$6.0M nonrecurring (Year 1)	Sunk
Program administration (DFS)	\$4.5M	\$1.25M
Independent evaluation and actuarial study	\$4.5M	\$1.25M
Curriculum maintenance and platform operations	Included above	\$2.5M
Total	About \$30M (\$6.0M nonrecurring; about \$8M recurring per year)	About \$25M recurring

State government: approximately \$10 million per year from the General Revenue Fund for three fiscal years, of which \$6.0 million is nonrecurring. At statewide scale, about \$25 million recurring, under 7 percent of the FY 2026-27 My Safe Florida Home appropriation, for a peril the state currently spends nothing on. Local government: no mandatory expenditure. County extension offices participate by agreement and are reimbursed under the DFS contract.

C. Private sector impact

Homeowners who install devices spend from about \$50 for sensors to a few hundred dollars for an automatic shutoff, offset by the premium credit. Certified inspectors gain a second line of state-contracted work. Carriers forgo credit revenue on participating policies and gain a lower, more predictable loss ratio on the same policies. Insurance carriers already recognize the trade: the credit is voluntary at Chubb, USAA, and Nationwide today because it pays.

D. The evidence that prevention pays

- **Automatic shutoff cuts water-claim frequency by 96 percent and severity by 72 percent.** LexisNexis Risk Solutions measured 2,306 homes with an in-line shutoff device against a matched control group of about 1.3 million homes, one year before and after installation. Control homes saw claims rise 10 percent over the same period (May 2020).
- **State-run, third-party-verified mitigation produces audited premium savings.** The Louisiana Legislative Auditor found the Louisiana Fortify Homes Program cut insurance costs a median 22 percent, about \$1,250 per year per home (March 2025). Alabama passed 50,000 FORTIFIED homes in September 2024, and the IBHS Hurricane Sally study of 40,093 coastal Alabama properties found 55 to 74 percent lower loss frequency for FORTIFIED homes (May 2025). These are wind programs. This proposal applies their model to the water gap they leave open.

E. Break-even and projected return

At statewide scale the program costs about \$25 million per year. At the national average severity of \$15,400, it breaks even in direct avoided loss if it prevents about 1,620 water claims per year, 1.6 percent of the 100,000 homes visited. At a Florida-blended severity of \$20,000, derived from OIR's CY2025 accidental-discharge indemnity and expense by litigation status, break-even falls to about 1,250 claims, 1.25 percent of homes visited.

At program maturity (Year 5 and after)	Conservative (national severity)	Florida-blended severity
Water claims prevented per year	About 1,400	About 1,400
Avoided indemnity and expense per claim	\$15,400	\$20,000
Direct losses avoided per year	About \$21.6M	About \$28.0M
Program cost per year	\$25M	\$25M
Return per program dollar, direct losses only	\$0.86	\$1.12

The table excludes three effects that each push the return higher: the 72 percent severity reduction on claims that still occur in device homes, Florida's outsized litigation expense on the water claims that would otherwise be fought, and the market-wide premium effect of a more predictable book. The projection is also the point of the pilot. The controlled study replaces these modeled figures with Florida loss data before the state commits to statewide scale.

Avoided losses return to the risk pool shared by the roughly 3.8 million voluntary-market homeowners policies and Citizens, and therefore to every policyholder in the state. The device

credit is a separate, direct dividend to the families who participate. DFS has reported average savings on the order of \$1,000 per year for My Safe Florida Home participants who complete mitigation and report the discount. A water credit will be smaller, because water is a smaller share of the premium than wind, but it is real money back for a few hundred dollars of devices, and it stacks on the wind credit a family may already hold.

F. Should the homeowner pay? Fee options compared

The base design makes the visit free, as My Safe Florida Home does. A modest fee is a legitimate option and changes three things: the state's net cost, who shows up, and the vote the bill needs. The comparison below holds capacity at 100,000 visits per year at statewide scale and \$200 per visit, with fixed costs of about \$5 million. Uptake elasticities are illustrative assumptions, not measured figures; the pilot's own scheduling data would replace them.

	Free (base design)	\$50 fee	\$100 fee	\$50 fee, waived for priority groups
Assumed uptake against capacity	100%	85%	70%	90% (about 30% of visits waived)
Visits per year	100,000	85,000	70,000	90,000
Fee revenue	\$0	\$4.3M	\$7.0M	\$3.2M
Net state cost per year	\$25.0M	\$17.8M	\$12.0M	\$19.9M
Net state cost per visit	\$250	\$209	\$171	\$221
Water claims prevented at maturity (proportional)	About 1,400	About 1,190	About 980	About 1,260
Who is priced out	No one	Lower-income owners, the group the Louisiana audit found underrepresented even in a free grant program	More of the same, plus cost-sensitive retirees	Fewest; priority groups mirror s. 215.5586
Vote required	Simple majority	Two-thirds of each chamber, separate bill	Two-thirds of each chamber, separate bill	Two-thirds of each chamber, separate bill

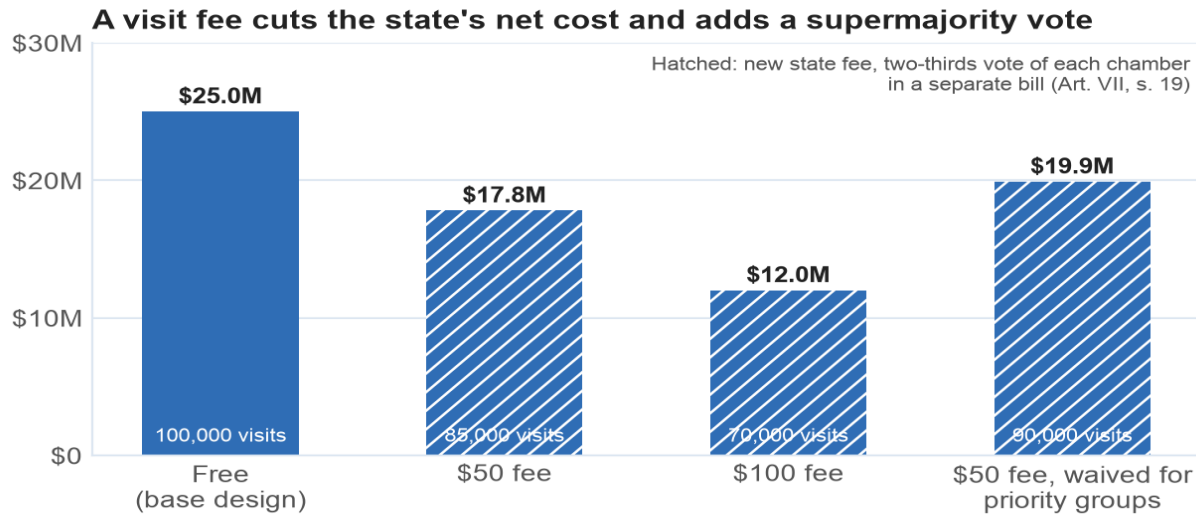


Figure 3. Net state cost per year at statewide scale under each fee option. Visit counts reflect the illustrative uptake assumptions in the table above. Hatched options require a two-thirds vote under Article VII, section 19.

The last row is the one a sponsor should weigh first. Article VII, section 19 of the Florida Constitution, adopted in 2018, requires a two-thirds vote of each chamber for any new state fee, defines fee to include any charge for service, and requires that the fee be enacted in a separate bill containing no other subject. A \$50 visit fee turns a one-bill, majority-vote program into a two-bill, supermajority program. That is not disqualifying, but it is a real cost, and it argues for running the pilot free. A free pilot also protects the controlled study: a fee would make participants a self-selected group, and the loss comparison against the control cohort would be harder to defend in front of OIR's actuaries.

The recommendation is a free three-year pilot, with the fee decision made at the decision gate on the pilot's uptake and loss data. If the Legislature prefers a fee at statewide scale, the fourth option, \$50 waived for the low-income and senior priority groups already defined in s. 215.5586, F.S., preserves most of the participation and about \$5 million a year of the savings.

G. What a participating family pays and gets back

The homeowner's side of the ledger is the reason the program works without a grant. Devices are cheap relative to the premium they earn back, and the numbers hold under a fee. Figures below are modeled: the premium credit is assumed at 3 to 8 percent of a \$4,000 annual premium, in line with the voluntary credits carriers file elsewhere, and the avoided-loss figure is the national water-claim frequency of one in 67 homes times the \$15,400 average severity times the 96 percent reduction LexisNexis measured for an automatic shutoff.

Per household	Sensors and hygrometer only	Full package: sensors, automatic shutoff, float switch	Full package plus a \$50 visit fee
One-time outlay	About \$100	About \$500 (shutoff installed by a plumber)	About \$550
Premium credit per year (modeled)	\$60 to \$120	\$120 to \$320	\$120 to \$320
Expected avoided loss per year (modeled)	About \$110 (sensors alone catch leaks early; assumed half the shutoff effect)	About \$220	About \$220
Deductible avoided when a loss is prevented	\$1,000 to \$2,500, once, in the year a leak would have occurred	Same	Same
Total return per year	\$170 to \$230	\$340 to \$540	\$340 to \$540
Simple payback	5 to 7 months	11 to 18 months	12 to 19 months
Ten-year net benefit, before any deductible avoided	\$1,600 to \$2,200	\$2,900 to \$4,900	\$2,850 to \$4,850

Two things the table leaves out favor the homeowner further. Mold remediation above a \$10,000 sublimit is paid out of pocket today, and a prevented leak prevents that bill entirely. And a home that has never filed a water claim is a home that keeps its choice of carriers, which in the Florida market is worth more than any single credit. A family that spends \$500 once and \$50 for the visit is ahead within the second policy year under every assumption in the table.

VI. Constitutional and Legal Issues

A. Municipality and county mandates restrictions

Article VII, section 18 of the Florida Constitution is not implicated. The program is state-administered and voluntary, and no county or municipality is required to spend funds or take any action.

B. Public records and open meetings

This is the issue most likely to be missed and the one on which participation depends. A Resilient Home Check report held by DFS or a state contractor is a public record under chapter 119, F.S.,

unless exempted. Without an exemption, a carrier, a lienholder, or a litigant could request every report by public records request, and the findings firewall in section VII would be unenforceable. A public records exemption must be enacted in a separate bill under Article I, section 24(c), passed by a two-thirds vote of each chamber, with a statement of public necessity, and it is subject to Open Government Sunset Review under s. 119.15, F.S. The sponsor should file the exemption bill as a companion from the outset. Precedent exists in the exemptions for My Safe Florida Home application data.

C. Trust fund restrictions

None. The pilot is funded from the General Revenue Fund. If the Legislature prefers to fund from the Insurance Regulatory Trust Fund, the appropriation would be subject to s. 215.32, F.S., and no new trust fund is created.

D. State tax or fee increases

None under the base design. If the Legislature adopts a visit fee (V.F), Article VII, section 19 requires a two-thirds vote of each chamber and a separate bill containing no other subject. The fee bill would also be subject to the single-subject rule and should be filed as a companion, the way the public records exemption is.

E. Other constitutional and legal issues

- **Rate standards.** The device credit must be actuarially reasonable under s. 627.062, F.S. The proposal follows the same construction the courts and OIR have accepted for the wind credit under s. 627.0629, F.S.
- **Rulemaking authority.** The Financial Services Commission adopts the verification form under s. 627.711, F.S., and DFS adopts program rules under a new grant of authority in the enabling section, consistent with chapter 120, F.S.
- **State liability.** The report is advisory. The enabling section states that the report creates no duty, warranty, or guarantee, and nothing in it waives sovereign immunity beyond s. 768.28, F.S.
- **Inspector conduct.** The existing fraud and misconduct penalties in s. 627.711, F.S., for false mitigation forms extend to the water form by cross-reference.

VII. Homeowner Protections

These provisions are not optional features. Without them, participation collapses and the program cannot generate the loss data the credit depends on.

- **Findings firewall.** The report belongs to the homeowner. It may not be sent to any insurer, lienholder, or agency without the homeowner's written consent, and a carrier may not obtain

it or act adversely on it. Violation is an unfair trade practice under s. 626.9541, F.S. The companion public records exemption in section VI.B makes the firewall enforceable.

- **No code enforcement.** The visit generates no citation, no violation, and no referral to a building department.
- **No sales.** Inspectors are barred by contract and statute from performing, bidding on, referring, or profiting from any work arising from a visit.
- **Advisory, not warranty.** The report is advice, not a guarantee, and the statute says so.
- **Voluntary.** There is no penalty for declining and no effect on any other state benefit.

The firewall is the load-bearing wall. A homeowner with a seventeen-year-old roof will not open the door if opening it risks a nonrenewal letter. Protect the report and they will let the state in.

VIII. Implementation, Pilot Design, and Success Metrics

Phase	Timing	What happens
Stand-up	Months 0 to 6 (FY 2027-28, Q1 to Q2)	Enabling legislation and public records exemption take effect July 1, 2027. DFS opens the program office. IFAS builds curriculum and certification. The Financial Services Commission begins rulemaking on the verification form. The scheduling portal is extended from My Safe Florida Home.
Launch	Year 1	Five pilot counties go live. About 12,000 visits. Matched control cohort enrolled. Citizens files its device credit.
Scale	Year 2	About 24,000 visits. First interim loss-data readout to the Legislature, visited versus control.
Prove	Year 3	About 36,000 visits. Final controlled-study results and OIR actuarial finding delivered before the 2030 Regular Session.
Decision gate	End of Year 3	If targets hold, scale statewide and the private-carrier credit mandate takes effect. If kill criteria trigger, the program sunsets by operation of law.

A. Pilot counties

Hillsborough, Miami-Dade, Escambia, Marion, and Lee. The five were chosen for diversity of housing stock, climate, and litigation environment: Tampa Bay, Southeast Florida's high-litigation counties, the Panhandle, inland Central Florida, and the Southwest Gulf coast.

B. Success metrics, written into the authorizing statute

Metric	Target by end of Year 3
Visits completed	About 72,000 across the pilot counties
Verified device installations following a visit	25 percent of visited homes
Non-weather water claim frequency, visited versus control	15 percent reduction
Mold claim frequency, visited versus control	20 percent reduction
Homeowner behavior change, self-reported	80 percent complete at least one recommended fix
Carriers filing a voluntary participation credit	At least three
OIR actuarial finding	Sufficient to justify a mandated device credit statewide

Kill criteria

If claim frequency in visited homes is statistically indistinguishable from the control group after three years, the program does not scale, and the enabling section sunsets. Writing that into the statute costs the sponsor nothing and answers the strongest objection in advance: a resilience program that cannot prove it works should not survive on good intentions.

IX. Statutes Affected and Legislative Sequencing

A. Statutes affected

Change	Vehicle
Create the Resilient Home Check within DFS; define scope, eligibility, inspector conduct, and the findings firewall; grant rulemaking authority; set metrics, reporting, and sunset	New section in chapter 215, F.S., parallel to s. 215.5586
Require an actuarially reasonable premium credit for verified water-mitigation devices	New subsection to s. 627.0629, F.S.
Adopt a Uniform Water Mitigation Verification form; extend inspector qualifications and fraud penalties	Amendment to s. 627.711, F.S.

Change	Vehicle
Prohibit adverse carrier use of a Resilient Home Check report	Amendment to s. 626.9541(1), F.S.
Exempt Resilient Home Check reports and homeowner identifying information from public disclosure	Separate public records exemption bill; new subsection to s. 119.071, F.S., or within the enabling section, with statement of public necessity
Direct Citizens to file a water-mitigation device credit	Amendment to s. 627.351(6), F.S.
Appropriate about \$10 million per year for a three-year pilot	General Appropriations Act, FY 2027-28 through FY 2029-30

B. Sequencing for the 2027 Regular Session

6. **September to October 2026.** Request from OIR, under its existing data-call authority, a breakout of accidental-discharge and other-water claims by county for the five proposed pilot counties, and from DFS the current inspector count and per-inspection cost. Both are needed for the fiscal note.
7. **October 15, 2026.** Agency legislative budget requests are due under s. 216.023, F.S. If DFS is willing to carry the pilot as an agency request, the appropriation enters the Governor's recommended budget with agency support rather than as a member project.
8. **November 2026 to February 2027 interim committee weeks** (November 17 to 19, November 30 to December 3, January 4 to 7 and 11 to 14, February 1 to 4, 8 to 11, and 15 to 18). Present the concept to the Senate Banking and Insurance Committee and the House Insurance and Banking Subcommittee, and to the Senate Appropriations Committee on Agriculture, Environment, and General Government, which carries the DFS budget.
9. **January 2027.** DFS and OIR circulate the draft Resilient Home Partner Compact to the carriers that entered Florida since 2022 and to Citizens, so that at least two carriers can announce participation when the bill is heard.
10. **Bill filing.** File the substantive bill and the public records exemption bill together, in both chambers, before the filing deadline. Seek a sponsor on the insurance committee in each chamber.
11. **March 2 to April 30, 2027.** Regular Session. Secure the appropriation in the DFS line of the General Appropriations Act and a proviso directing the controlled-study design.
12. **July 1, 2027.** Effective date. Stand-up begins.

C. Anticipated objections

Objection	Response
This puts government in people's homes.	Fully voluntary and homeowner-scheduled. No code enforcement, no findings shared, no penalty for declining. It is closer to a free extension-service class than an inspection.
Insurers will use it to drop people.	Statutorily prohibited, backed by a public records exemption, and enforced as an unfair trade practice.
Carriers will never actually lower rates.	Correct, if the program only offered education. The credit attaches to verified physical devices with a filed, actuarially supportable basis, exactly as wind mitigation already works, and Citizens moves first.
This is real money.	A three-year pilot is under a tenth of a single year of My Safe Florida Home funding, it addresses a peril the state spends nothing on, and it sunsets automatically if it fails.
The private market can do this.	It has had thirty years and has not, for a structural reason. Homeowners do not trust an inspector sent by the company that can cancel their policy.
Water claims are already falling.	Frequency fell 7.8 percent nationally in 2025 while severity kept climbing. Florida still closed 118,000 water claims in 2025, and the reforms did nothing to reduce that count.

Florida already knows how to harden a home against a hurricane. It should also teach Floridians how to keep one dry. Do that and the losses fall, the lawsuits fall with them, and the carriers the state has spent four years inviting back have a reason to compete for a Florida family's business.

Appendix A: Projection Assumptions and Methodology

Cost model

- Per-visit cost of \$200 covers inspector time, travel, instrumentation, and the written report. This is above the cost of a My Safe Florida Home wind inspection, because the Resilient Home Check is a longer teaching visit.
- Pilot visits ramp 12,000, 24,000, and 36,000, about 72,000 over three years. One-time build costs are front-loaded in Year 1. The pilot totals about \$30 million, about \$10 million per year.
- At statewide scale the build is sunk, so about \$25 million per year funds roughly 100,000 visits.

Loss-avoidance model

- Base water-claim frequency: 1.50 per 100 house-years, or one in 67 homes per year (Insurance Information Institute, 2019 to 2023).

- **Device uptake:** 25 percent of visited homes install verified mitigation, matching the pilot's own target. Devices cost from about \$50 for sensors to a few hundred dollars for an automatic shutoff.
- **Device effect:** modeled at a 50 percent reduction in water-claim frequency, far below the 96 percent LexisNexis measured, to account for partial installations.
- **Education effect:** modeled at a 10 percent frequency reduction across all visited homes.
- **Avoided cost per claim:** \$15,400 (national average, conservative) and \$20,000 (Florida-blended). The Florida figure weights OIR's CY2025 accidental-discharge indemnity and expense by litigation status, with about 11 percent of claims litigated.
- **Compounding:** devices are assumed effective for five or more years and behavior change for about three, so the installed base grows to the steady state in section V.E by Year 5. At that point roughly 1,400 claims per year are prevented: about 930 from devices across five annual cohorts and about 450 from maintenance behavior across three.

What the model leaves out, on purpose

The projection does not monetize the 72 percent severity reduction on the claims that still occur, Florida's disproportionate litigation expense on every water claim, or the market-wide premium effect of a more predictable book. Each of these pushes the return higher. Mold figures are excluded from the headline math because no primary insurer publishes standalone mold severity data. Remediation is widely reported in the \$1,500 to \$30,000 range with sublimits often at \$10,000, but those are secondary estimates and are treated as upside, not baseline.

Appendix B: Comparable-State Benchmarks

Program	Scale and structure	Documented result
Alabama, Strengthen Alabama Homes	Grants up to \$10,000 to re-roof to the IBHS FORTIFIED standard, since 2016; about 8,700 grant-funded retrofits and about \$86 million disbursed	Alabama passed 50,000 FORTIFIED homes in September 2024, most through private adoption once the standard and the credit existed.
Louisiana, Fortify Homes Program	Grants up to \$10,000 for FORTIFIED roofs, launched October 2023	Louisiana Legislative Auditor (March 2025): median 22 percent reduction in insurance cost, about \$1,250 per year per home.
IBHS FORTIFIED, Hurricane Sally study	University of Alabama and IBHS study of 40,093 insured coastal properties, 7,417 FORTIFIED, commissioned by the Alabama Department of Insurance	Loss frequency 55 to 74 percent lower; severity 15 to 40 percent lower; \$105.6 to \$116.1 million in losses would have been prevented had all homes in the storm's path been FORTIFIED (May 2025).

Program	Scale and structure	Documented result
New York, DFS Circular Letter No. 3 (2024)	Regulatory guidance encouraging carriers to offer leak-detection devices and file actuarially appropriate discounts	Voluntary. No verification standard and no mandate. Florida would be the first state to set one.

These are wind and roof programs and one regulatory letter. Together they show that a state-run, third-party-verified mitigation standard produces audited premium savings, and that no state has yet built the equivalent for water.

Appendix C: Sources

Florida market and regulatory data

- Florida Office of Insurance Regulation, Property Insurance Stability Report, July 1, 2026 (CY2025 closed-claims data by peril and litigation status; NAIC MCAS claims and suits shares; new entrants; combined ratio; Citizens policy count; enhanced monitoring). flor.gov/docs-sf/default-source/property-and-casualty/stability-unit-reports/july-2026-isu-report.pdf
- Florida Office of Insurance Regulation, Property Insurance Stability Report, January 1, 2026 (CY2024 closed-claims data; market share as of September 30, 2025). flor.gov/docs-sf/default-source/property-and-casualty/stability-unit-reports/january-2026-isu-report-final.pdf
- Citizens Property Insurance Corporation, Policies in Force, April 30, 2026; "Citizens' 2026 Multiperil Rates to Drop Statewide," March 4, 2026. citizensfla.com
- Insurance Journal, "Three New HO Carriers and an Improving Condo Market in Florida, Reports Show," May 21, 2026.
- Florida Statutes (2026): ss. 119.071, 119.15, 215.5586, 215.55871, 216.023, 626.9541, 627.062, 627.0629, 627.351, 627.711, 627.7154, and 768.28. flsenate.gov/laws/statutes/2026
- Florida Department of Financial Services, My Safe Florida Home program results (February 2025 release: more than \$576 million in grants to more than 58,000 homeowners); HB 5001E (2026), General Appropriations Act for FY 2026-27, chapter 2026-232 (\$378 million My Safe Florida Home; \$27 million condominium pilot); WUSF, "My Safe Florida Home reopens with \$352M," August 11, 2025.
- Florida Senate, SB 1502 (2026), My Safe Florida Home Program (died in Banking and Insurance, March 13, 2026); Florida House, HB 1459 (2025), My Safe Florida Home Program flood mitigation expansion (died in Insurance and Banking Subcommittee).
- Florida Senate, 2026-2027 Interim Committee Meeting Schedule (Office of the President).

Claims and mitigation research

- Insurance Information Institute, Facts + Statistics: Homeowners and Renters Insurance (water damage and freezing: 1.50 claims per 100 house-years; \$15,400 average severity; 22.6 percent of losses in 2023; 2019 to 2023 data). [iii.org](https://www.iii.org)
- LexisNexis Risk Solutions, 2026 U.S. Home Insurance Trends Report, July 22, 2026 (non-weather water frequency, cost, and severity trends 2019 to 2025).
- LexisNexis Risk Solutions, in-line water shutoff loss correlation study with Flo by Moen, May 5, 2020 (96 percent frequency and 72 percent severity reduction; 2,306 device homes versus about 1.3 million control homes).
- Insurance Institute for Business and Home Safety, State of the Risk: Interior Water Damage (structural drivers of interior water loss). [ibhs.org](https://www.ibhs.org)
- University of Florida IFAS Extension, EDIS publications FCS3255 (Basic Mold Prevention), FCS3256 and FCS3257 (Moisture Control in Your Home), and HE887 (Closing Your Seasonal Home); UF/IFAS Extension county office directory (67 counties).

Comparable programs and regulatory guidance

- Louisiana Legislative Auditor, Louisiana Fortify Homes Program, March 2025 (median 22 percent premium reduction, about \$1,250 per year).
- Smart Home America and Alabama Department of Insurance, 50,000 FORTIFIED homes milestone, September 16, 2024.
- IBHS and University of Alabama Center for Risk and Insurance Research, Performance of IBHS FORTIFIED Home Construction in Hurricane Sally, May 2025. [aldoi.gov](https://www.aldoi.gov)
- New York State Department of Financial Services, Insurance Circular Letter No. 3 (2024), Offering of Loss Mitigation Tools and Services and Discounts for the Installation of Loss Mitigation Devices and Systems, May 23, 2024.
- Carrier program pages: Chubb and StreamLabs; USAA Connected Home; Nationwide and Phyn (voluntary leak-detection credits).

Every projection in this brief is a modeled estimate built from the sources above and labeled as such. Before a bill moves, OIR should confirm the Florida-specific loss figures against its own closed-claims data, and the Legislature's Office of Economic and Demographic Research should be asked to review the fiscal assumptions.